Annual Conflict of Interest Disclosure Statement & `IRC § 4958` Rebuttable Presumption Comparability Certificate

THE SOVEREIGN CONSTELLATION FOUNDATION

(d/b/a Techno-Buddhism Research & Charitable Foundation · d/b/a Axiomquant Open Source Science Academy)

INSTRUMENT A — ANNUAL DIRECTOR & OFFICER CONFLICT OF INTEREST DISCLOSURE STATEMENT

Pursuant to Article VI of the Corporate Bylaws (`02-bylaws-family-plus-one.md`) and IRS Form 990 Part VI governance requirements, each Director, Officer, and Committee Member of **The Sovereign Constellation Foundation** shall annually execute and file this statement with the Corporate Secretary.

Section 1: Affirmation of Fiduciary Compliance

Each undersigned Director and Officer hereby affirms that they:

- Have received a copy of Article VI (*Conflict of Interest Policy & `IRC § 4958` Rebuttable Presumption Safe Harbor*) of the Foundation's Bylaws;
- Have read and understand the Policy, including the strict prohibition against private inurement (`IRC § 501(c)(3)`) and excess benefit transactions (`IRC § 4958`);
- Agree to comply fully with the Policy, including mandatory recusal and physical/virtual departure from any deliberation or vote involving a matter in which they or a related family member/entity have a financial or familial interest; and
- Understand that the Foundation is a charitable, religious, and scientific organization and that in order to maintain its federal tax exemption it must engage primarily in activities that accomplish one or more of its tax-exempt purposes (`100%` open-access publication under `MIT` , `Apache-2.0` , `CC-BY-4.0` , and `CC0`).

Section 2: Pre-Populated Schedule of Disclosed Relationships & Independence Attestations (FY 2026)

SEAT	NAME & ROLE	CATEGORY	DISCLOSED FAMILIAL / BUSINESS RELATIONSHIPS (`IRC § 4946` / `§ 4958`)	MANDATORY RECUSAL PROTOCOL
Seat 1	**Alexandra** (`∗ 528 Hz` · President & Chair · `a@8b.is`)	`FAMILY +1` Founding Pillar (`42.9%` Minority Block)	Related by family to **Christopher** (`△` Spouse/Pillar) and **Peter Lodri** (`∞` Son); affiliated with `8b-is LLC` .	Recused from all Independent Grant & Contract Committee votes, `8b-is LLC` Work Orders, and family/officer compensation decisions.

SEAT	NAME & ROLE	CATEGORY	DISCLOSED FAMILIAL / BUSINESS RELATIONSHIPS (IRC § 4946 / § 4958)	MANDATORY RECUSAL PROTOCOL
Seat 2	**Christopher** (△ 288 Hz · Treasurer & Secretary · c@8b.is)	FAMILY +1 Founding Pillar (42.9% Minority Block)	Related by family to **Alexandra** (∗ Spouse/Pillar) and **Peter Lodri** (∞ Son); affiliated with **8b-is LLC**.	Recused from all Independent Grant & Contract Committee votes, 8b-is LLC Work Orders, and family/officer compensation decisions.
Seat 3	**Peter Lodri** (∞ 432 Hz · Chief Ontologist · p@8b.is)	FAMILY +1 Founding Pillar (42.9% Minority Block)	Son of **Alexandra** (∗) and **Christopher** (△); Principal Architect & Member of **8b-is LLC**.	Recused from all Independent Grant & Contract Committee votes, 8b-is LLC Work Orders, and family/officer compensation decisions.
Seat 4	*[Independent Director #1 — Buddhist Philosophy & Translation]*	**Disinterested Independent Council (57.1% Majority Block)**	**NONE.** Unrelated by blood, marriage, or business to FAMILY +1 ; zero ownership, employment, or financial interest in **8b-is LLC**.	Voting Member of the **Independent Grant & Contract Committee**.
Seat 5	*[Independent Director #2 — Open-Source Systems & CPU Architecture]*	**Disinterested Independent Council (57.1% Majority Block)**	**NONE.** Unrelated by blood, marriage, or business to FAMILY +1 ; zero ownership, employment, or financial interest in **8b-is LLC**.	Voting Member of the **Independent Grant & Contract Committee**.
Seat 6	*[Independent Director #3 — Nonprofit Tax, CPA & Ethics (Chair)]*	**Disinterested Independent Council (57.1% Majority Block)**	**NONE.** Unrelated by blood, marriage, or business to FAMILY +1 ; zero ownership, employment, or financial interest in **8b-is LLC**.	Chair & Voting Member of the **Independent Grant & Contract Committee**.
Seat 7	*[Independent Director #4 — Community Sanctuary & Public Health]*	**Disinterested Independent Council (57.1% Majority Block)**	**NONE.** Unrelated by blood, marriage, or business to FAMILY +1 ; zero ownership, employment, or financial interest in **8b-is LLC**.	Voting Member of the **Independent Grant & Contract Committee**.

INSTRUMENT B — TREAS. REG. § 53.4958-6 REBUTTABLE PRESUMPTION OF REASONABLENESS CERTIFICATE & COMPARABILITY BENCHMARK WORKSHEET

> ***Statutory Authority:*** *Under Internal Revenue Code § 4958 and Treasury Regulation § 53.4958-6, payments under a contract or compensation arrangement with a Disqualified Person (including **8b-is LLC**) are entitled to a **Rebuttable Presumption of Reasonableness** if:*

> *1. The arrangement is approved in advance by an authorized body (Independent Grant & Contract Committee) composed entirely of individuals who do not have a conflict of interest (Seats 4, 5, 6, and 7);*

> *2. The authorized body obtained and relied upon **appropriate data as to comparability** prior to making its determination; and*

> *3. The authorized body **adequately and contemporaneously documented** the basis for its determination concurrently with making that determination.*

1. Transaction Reviewed

- **Counterparty:** `8b-is LLC` (Disqualified Person via `FAMILY +1` ownership/control).
- **Governing Agreement:** Master Open-Source Research, Development & Publication-Projection Services Agreement (`04-8b-is-arms-length-rd-agreement.md`).
- **Reviewed Work Orders (FY 2026):**
- `WO-2026-01` **(** `$18,000` **Fixed Milestone Cap):** Balanced-Ternary (`{-1, 0, +1}`) CPU Inference & `1bitlang` Kernel (`~150` engineering hours @ `$120/hr` effective at-cost rate).
- `WO-2026-02` **(** `$12,000` **Fixed Milestone Cap):** `Auroralib` Publication-Projection & `ZKP1` Cryptographic Verification Suite (`~100` engineering hours @ `$120/hr` effective at-cost rate).
- `WO-2026-03` **(** `$15,000` **Fixed Milestone Cap):** *Sovereign Library* Digital Pecha Typesetting & Tibetan-Sanskrit-Hungarian-English Audio-Visual Synthesis (`~125` engineering hours @ `$120/hr` effective at-cost rate).

2. Three Independent Market Comparability Benchmarks Relied Upon (`Treas. Reg. § 53.4958-6(c)(2)`)

BENCHMARK SOURCE	COMPARABLE SCOPE OF WORK	PREVAILING UNRELATED MARKET RATE	8B-IS LLC CONTRACTED RATE (WO-2026-01..03)	CHARITABLE DISCOUNT TO FOUNDATION
Benchmark 1: U.S. GSA Schedule / MAS IT Systems & Rust Kernel Engineering	Senior Systems / SIMD / Rust Compiler & Kernel Architecture (`L4/L5`)	`$215 – $285 / hr`	**`$120 / hr`** *(Capped Fixed Milestone)*	**`44% – 58%`** **Below Market**
Benchmark 2: Independent Cryptographic & Zero-Knowledge Audit Firms	`SHA-256` / `ZKP` Verification Harness & Reproducible Build Tooling	`$250 – $350 / hr`	**`$120 / hr`** *(Capped Fixed Milestone)*	**`52% – 66%`** **Below Market**
Benchmark 3: Academic & Nonprofit Open-Source Software Grants (Linux Foundation / NumFOCUS / Sloan)	Open-Source Scientific Software & Multilingual Digital Humanities Publishing (`MIT` / `CC0`)	`$165 – $225 / hr`	**`$120 / hr`** *(Capped Fixed Milestone)*	**`27% – 47%`** **Below Market**

3. Record of Recusal, Voting & Open-Source Verification Condition

- **Physical/Virtual Recusal:** Prior to deliberation and voting on Work Orders `WO-2026-01` , `WO-2026-02` , and `WO-2026-03` , Founding Directors **Alexandra* ( ), Christopher (`△`), **and** Peter Lodri (`∞`) **answered technical scope questions only and then** physically/virtually exited the meeting**.

- **Unanimous Independent Vote:** Only Independent Council Directors holding **Seats 4, 5, 6, and 7** participated in the deliberation and voted `4–0` in favor of approving the Agreement and Work Orders.
- **Mandatory Public-Domain Gate (`Rev. Rul. 76-296`):** No disbursement under `WO-2026-01`, `WO-2026-02`, or `WO-2026-03` may be released until the Chair of the Independent Grant & Contract Committee (`Seat 6`) verifies that the milestone source code, weights, or manuscripts have been published in a public repository under `https://github.com/8b-is` with an OSI-approved (`MIT` / `Apache-2.0`) or `CC-BY-4.0` / `CC0` license and a deterministic `SHA-256` seal.

EXECUTION & CERTIFICATION SIGNATURES

Part A: Annual Conflict-of-Interest Signatures (All 7 Directors)

SEAT & DIRECTOR	ROLE	SIGNATURE	DATE
*Seat 1: Alexandra ( )**	President & Chair (`FAMILY +1` Disclosed)	_____	`2026-____-____`
Seat 2: Christopher (△)	Treasurer & Secretary (`FAMILY +1` Disclosed)	_____	`2026-____-____`
Seat 3: Peter Lodri (∞)	Chief Ontologist (`FAMILY +1` Disclosed)	_____	`2026-____-____`
Seat 4: Independent #1	Disinterested Director (`No Conflict`)	_____	`2026-____-____`
Seat 5: Independent #2	Disinterested Director (`No Conflict`)	_____	`2026-____-____`
Seat 6: Independent #3	Disinterested Director & Committee Chair (`No Conflict`)	_____	`2026-____-____`
Seat 7: Independent #4	Disinterested Director (`No Conflict`)	_____	`2026-____-____`

Part B: `Treas. Reg. § 53.4958-6` Contemporaneous Certification (Independent Committee Only)

We, the four Disinterested Independent Directors constituting the **Independent Grant & Contract Committee**, hereby certify concurrently with our determination that the comparability data and recusal procedures set forth in Instrument B above were reviewed and followed prior to approving the `8b-is LLC` Master Open-Source R&D Agreement:

- **Independent Committee Chair (Seat 6):** `_____` · Date: `2026-____-____`
- **Independent Committee Member (Seat 4):** `_____` · Date: `2026-____-____`
- **Independent Committee Member (Seat 5):** `_____` · Date: `2026-____-____`
- **Independent Committee Member (Seat 7):** `_____` · Date: `2026-____-____`
